

US equities rally on strong earnings, yields ease

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The major indices closed higher on Thursday, with the **S&P 500** up **+0.51%** to 7,743.41 and the Dow gaining **+0.93%** to 51,828.62. Broad-based buying was led by financials, industrials and technology, while the VIX fell to 14.87, its lowest level in three weeks.

Yield pressure eased as the 10-year Treasury slipped to 5.18%, supporting risk assets. Investors now focus on upcoming earnings from the “Big Tech” cohort and the Fed’s policy outlook after the latest CPI release.

US Session Recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,743.41	+0.51%	
Dow Jones	51,828.62	+0.93%	
Nasdaq 100	30,608.13	+0.42%	
Russell 2000	2,837.55	+0.07%	
VIX	14.87	-5.11%	lowest since 2024-09-12
10Y Yield	5.18%	+0.43%	
WTI Crude	92.41	-2.33%	

Top large-cap movers

TICKER	CLOSE	CHANGE
MSFT	516.17	+3.66%
JPM	343.06	+1.33%
AAPL	341.07	+1.53%
META	751.66	-3.33%

Spotlight

Microsoft reported fiscal Q3 revenue of \$78.5 bn, beating consensus by 2.1% and delivering earnings per share of \$9.84, up 12% YoY. The cloud segment grew 15% YoY, reinforcing the MSFT rally.

METRIC	VALUE
Revenue	\$78.5 bn
YoY growth	+2.1%
EPS	\$9.84
Cloud growth	+15%

Macro & Fed

- Fed policy rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield: 5.18%
- Today's releases (HKT): CPI 09:30, Core PCE 10:00, Fed Chair remarks 13:30

Geopolitics & global

- China's manufacturing PMI printed 49.2, indicating continued contraction.
- Eurozone inflation eased to 2.6% YoY, supporting ECB's dovish stance.
- Middle-East tensions remain muted after ceasefire talks, limiting oil-price volatility.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
09:30	AAPL	iPhone 17 launch impact on margins
10:15	GOOGL	Ad-tech revenue rebound
11:00	AMZN	AWS growth trajectory
13:30	TSLA	Q3 deliveries vs. guidance

Stocks worth watching

- NVDA – chip demand steadies, up +0.22% after earnings.
- XLF – financials rally on rate-sensitive earnings.
- XLE – oil dip tests energy sector resilience.
- META – shares slide on weaker ad spend outlook.
- GS – investment banking fees beat estimates.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI above 3.2% YoY.
- Fed signals earlier rate hikes.
- Geopolitical escalation in the Middle East.

BULLISH TRIGGERS

- Strong Q4 guidance from **MSFT** or **AAPL**.
- Durable commodities rally pushing energy ETFs higher.
- Positive surprise in core PCE data.

Sources

SOURCES

Reuters — US Markets

Bloomberg — S&P 500

CNBC — Earnings Calendar

FRED — 10-Year Treasury Yield

SEC — Company Filings